

5-3d Political Arguments against Free Trade

Political arguments against free trade advance a nation's political, social, and environmental agenda, regardless of possible economic gains from trade. These arguments include

- (1) national security,
- (2) consumer protection,
- (3) foreign policy, and
- (4) environmental and social responsibility.

National security concerns are often invoked to protect defense-related industries. Many nations fear that if they rely on arms imports, their national security may be compromised if there are political or diplomatic disagreements between them and the arms-producing nation. France has always insisted on maintaining an independent defense industry to produce nuclear weapons, aircraft carriers, and combat jets. While the French can purchase such weapons at much lower costs from the United States that is eager to sell them, the French answer has usually been: "No, thanks!"

Consumer protection has frequently been used as an argument for nations to erect trade barriers. Several years ago, the United States implemented the Mandatory Country of Origin Labeling (COOL) legislation, requiring US firms to track and notify consumers of the country of origin of meat. Many young Canadian pigs were exported to the United States, and were raised with indigenous US pigs for fattening. After several months, separating the (immigrant) Canadian pigs from the (native-born) US pigs was next to impossible. As a result, major US pork producers simply stopped buying hogs from Canada. Such a seemingly innocent move in the name of protecting consumers provoked fierce protests from the Canadian government, which eventually sued the US government at the WTO.

Foreign policy objectives are often sought through trade intervention.

Trade embargos (Politically motivated trade sanctions against foreign countries to signal displeasure.)

are politically motivated trade sanctions against foreign countries to signal displeasure (see [Emerging Markets 5.1](#)). Many Arab countries maintain embargoes against Israel. The United States has embargoed against Cuba, Iran, North Korea, Russia, Sudan, and Syria. In 2009, DHL paid a record fine of US\$9.4 million because it had violated US embargoes and sent shipments to Iran, Sudan, and Syria. According to a US Treasury Department statement, DHL "may have conferred a significant economic benefit to these sanctioned countries that potentially created extraordinarily adverse harm." What are such dangerous shipments?

Condoms, jewelry, and radar detectors for cars, according to the same Treasury Department statement.

Emerging Markets 5.1

Expanding UK Exports in Russia

Russia is the richest emerging economy (by per capita income) within BRIC group of nations. Among its BRIC peers, Russia is also the geographically closest country from the UK. Therefore, it would make sense for the UK to have relatively higher export sales in Russia. Yet, among BRIC, UK exports (or, viewed from Russia, UK imports) command a very low market share ([Figure 5.8](#)). The total value of UK manufacturing imports in Russia in 2011 was US\$7.2 billion, which accounted for just 2% of Russia's merchandise imports. The UK, thus, was not only behind its usual global rivals (such as China, Germany, and the United States) and Russia's "near abroad" (post-Soviet) neighbors (such as Ukraine and Belarus) that naturally trade a lot with Russia, but it was also behind Korea, Poland, and? Turkey. However, Russia is one of the fastest growing markets for UK exports. UK exports to Russia in 2011 increased by 39% from 2010. Since 2001, UK–Russia trade has been growing by an average of 21% year-on-year rate.

Figure 5.8

Russia's Goods Imports by Country

Sources: Goskomstat, www.gks.ru; www.ved.gov.ru/exportcountries/gb/gb_ru_relations/gb_ru_trade. Data refer to 2010.

Clearly, the room for growth is tremendous. For example, the Russian government is committed to developing its automotive industry and car sales went up 15% in

2011–2012. For UK firms that tap into this market, such as industrial measurement (metrology) equipment producer Renishaw, the opportunities already turned into profits. In Russia, Renishaw enjoyed a 20%–30% growth in sales between 2010 and 2011, and further double-digit growth was predicted. Russia belonged to a core group of emerging markets with high growth that the firm hoped to balance against big traditional markets in the West with low growth.

If there is British technology not yet developed or sold within Russia, Rydian Pountney, general manager of rest of the world (ROW) sales at Renishaw and board member on UK Trade and Investment's Advanced Engineering Sector group, recommended that UK firms enter to fill the gap. It is important to note that Russia is *not* among the most price-sensitive markets. Quality means a lot to Russians, who tend to look at the technical aspects of a product more than the cost and are willing to pay for a better product. Renishaw was able to maintain its margins in Russia as customers were willing to pay for quality not just at the point of sale, however throughout the life of a product. Therefore, selling on price is generally not advised. Tariff reductions associated with Russia's WTO membership, effective August 2012, would typically bring down the price of manufacturing imports by 10%, making them more affordable to Russian customers.

However, since 2014, trade sanctions imposed by the UK government—in collaboration with other Western allies in protest of Russian annexation of Crimea and Russian intervention in the turmoil in Ukraine—have introduced significant stress and dilemma to UK firms, such as Renishaw, which are eager to expand their business in Russia. While sanctions are designed to hurt the Russian government, they also hurt consumers in Russia as well as jobs back home in the UK, which is desperate to grow the manufacturing sector. If Renishaw executives such as Pountney have a chance to lobby the UK government, what would they say?

Sources: This case was written by **Sergey Lebedev** (University of Texas at Dallas, under the supervision of Professor Mike Peng). It was based on (1) *Bloomberg Businessweek*, 2014, *This apple was once headed to Russia, not anymore*. September 15: 13–15; (2) *Manufacturer*, 2012, *Russian opportunities as it finally joins WTO*, August 22, www.themanufacturer.com; (3) *Manufacturer*, 2012, *To Russia, with love*, May 4, www.themanufacturer.com; (4) M. W. Peng & K. Meyer, 2013, *Winning the future markets for UK manufacturing output*, *Future of Manufacturing Project Evidence Paper 25*, London: UK Government Office for Science; (6) *UK Trade and Investment*, 2015, *Russia*, www.ukti.gov.uk.

Environmental and social responsibility can be used as political arguments to initiate trade intervention against certain countries. In a “shrimp–turtle” case, the United States banned shrimp imports from India, Malaysia, Pakistan, and Thailand. This was because shrimp were caught in their waters using a technique that also accidentally trapped sea turtles, an endangered species protected by the United States. These nations were upset and brought the case to the WTO, alleging that the United States invoked an environmental law as a trade barrier. The WTO sided with those nations and demanded that the US ban be lifted.

Chapter 5: Trading Internationally: 5-3d Political Arguments against Free Trade

Book Title: WGU Economics

Printed By: Mike Benton (mbento6@wgu.edu)

© 2021 Cengage Learning, Cengage Learning

© 2026 Cengage Learning Inc. All rights reserved. No part of this work may be reproduced or used in any form or by any means - graphic, electronic, or mechanical, or in any other manner - without the written permission of the copyright holder.